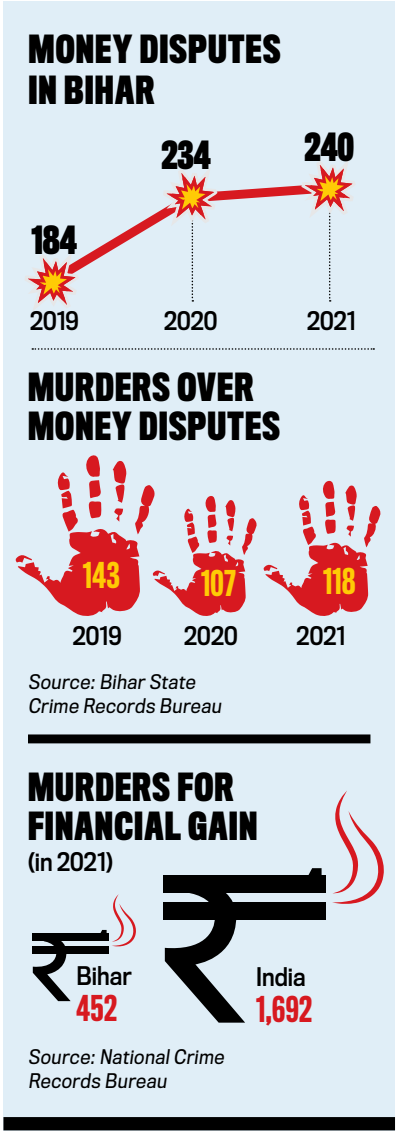
rowers, and Pandey's is yet another case in point. The latest *Crime in India* report of the National Crime Records Bureau (NCRB) records as many as 452 murders for 'financial gain' in Bihar in 2021. This was 27 per cent of such murders reported across the country (1,692) that year. A senior IPS officer posted in the state suggests that a good number of these murders could be directly linked to moneylending.

There was a time when Bihar was infamous for its *gunda* banks, run by groups of thugs who had transformed the older forms of usurious moneylending into a full-blown extortion racket to trap gullible borrowers. Over the years, however, the improved law and order situation, or at least the perception of it, drove most of these elements out of business. But the lucrative earning opportunities spawned a new crop of first-time moneylenders. The debutants to this grey art came from varied backgrounds. Take a milk seller in the backward district of Nawada, one of whose borrowers, overwhelmed by the mounting interest, ended his life by suicide along with his wife and four children in November last year. Or a beauty parlour owner in the upscale Boring Road locality of Patna, who was kidnapped and shot dead by her borrower in November 2021.

According to revenue minister Alok Mehta, only banks and licensed private finance companies can lend money. But in a state like Bihar where the credit-deposit ratio maintained by banks is as low as 53 per cent—that is, a bank loans just over a rupee to customers for every two rupees received in deposits—unregistered private moneylenders have mushroomed in its rural pockets to fill the wide gap between the supply and demand of credit. According to rough estimates, Bihar has more than 5,000 illegally operating private creditors, who have created a Rs 10,000 crore worth of moneylending business. The loans are sought for meeting the usual occupational and personal exigencies—from purchasing farm inputs, such as seeds and fertilisers, to arranging a daughter's wedding or meeting health and educational needs in the family.



Not only is the institutional credit system unable to meet the demand, taking a loan from banks is also a slow and cumbersome ordeal. "When it comes to private moneylenders, the loan processing is quick, and often without any deadline for repayment," explains advocate K.D. Mishra, who practises in the Patna High Court. And this is the trap into which many gullible people have fallen to meet their urgent cash requirements. High interest rates have become a norm in this unregulated sector, with the annual rates varying anywhere between 48 and 60 per cent, depending upon the customer, nature of the loan, repayment period, and collateral. As most borrowers struggle to meet the repayment obligation, the interest amount multiplies beyond their capacity. Some flee, others resort to suicide while a few like Pandey think they can wriggle out of this debt trap by committing crime.

The state crime records bureau's report sheds some more light on this dark underbelly of the unorganised lending market. According to the latest figures, on an average, two cases of 'money dispute' were registered every three days and one person killed due to such disputes in the state in 2021. In fact, the number of such cases has been on a constant rise, indicating a disturbing trend. From 184 money dispute cases registered in 2019, the number went up to 234 in 2020 and touched 240 in 2021. (The report for 2022 has not been released yet.) Entering into 2021, 1,491 such cases were stuck at various stages in Bihar courts, the report states further. By the end of the year, the backlog had gone up to 1,632 with 154 fresh ones put on trial but only 13 reaching their logical conclusion. This, even as only those cases reach courts where either a very large amount is involved or both the lender and borrower have "matching clout", claims Mishra. And that systemic delay may be pushing people to take the law into their own hands.

To end this cycle of crime, it's time the state government cracks down on illegal moneylending. But treating just the symptom, and not the disease, may prove to be counterproductive. For, first, there is a need to strengthen the institutional credit system and take it to even the remotest parts of Bihar. ■